STANDARD EDITION • 18 OCTOBER 2026 • 09:00 HKT

US equities tumble as rates rise and tech stalls

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 slipped -1.09% to 7,659.44, driven by a broad tech sell-off and a 10-year Treasury yield that nudged up to 5.10%. The VIX surged +21.45%, underscoring heightened volatility ahead of the Fed’s policy decision.

Energy rallied on a +2.52% jump in XLE as crude breached the $100 mark, while defensive sectors (XLP, XLU, XLB) posted modest gains, suggesting investors are re-balancing toward safety ahead of potential rate hikes.

US Session Recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,659.44	-1.09%	Tech earnings disappointment and rising yields
Nasdaq 100	29,187.55	-2.50%	NVDA, MSFT, and META all down >1%
Dow Jones	52,002.41	-0.34%	Industrial mix muted, rate-sensitivity limited
Russell 2000	2,721.37	-1.66%	Small-cap exposure to higher rates
VIX	19.99	+21.45%	Investor fear ahead of Fed meeting
10Y Yield	5.10%	+0.18%	Fed's hawkish tone, strong jobs data
WTI Crude	99.02	+1.07%	Supply concerns in the Middle East
Gold	4,181.10	+0.26%	Safe-haven demand amid volatility
DXY	101.84	-0.16%	Dollar pressure from higher yields elsewhere

Top large-cap movers

TICKER	CHANGE	CATALYST
JPM	+1.25%	Better-than-expected net interest income
XLE	+2.52%	Crude > $100, OPEC output cuts
XLP	+1.08%	Consumer staples rally on risk-off
XLU	+1.34%	Utilities benefit from yield-seeking flows
AVGO	-4.52%	Guidance cut after supply-chain strain
META	-3.72%	Ad-revenue miss, AI spend slowdown

Sector rotation

ETF	DAY	READ
XLF	+0.45%	Financials hold despite higher rates
XLK	-3.02%	Tech under pressure from earnings and yields
XLI	-0.08%	Industrial neutral, rate-sensitive
XLE	+2.52%	Energy leads the rally
XLY	-0.84%	Discretionary lagging risk-off
XLC	-1.89%	Communications hit by ad slowdown
XLP	+1.08%	Defensive consumer staples rise
XLV	-0.27%	Health care modestly down
XLU	+1.34%	Utilities attract yield-seeking capital
XLB	+0.71%	Materials benefit from commodity bounce
XLRE	+0.40%	Real estate steadies on REIT dividend yields

Spotlight: energy surge amid supply worries

Crude oil broke the $100 barrier, lifting the energy sector and XLE ETF. The move reflects tightening supply from OPEC+ cuts and geopolitical friction in the Strait of Hormuz.

METRIC	VALUE
WTI price	99.02
OPEC+ output cut	1.2 million bpd
U.S. crude inventories (EIA)	-5.3 million barrels
Energy sector YTD return	+12.4%
Related tickers	XLE, CVX, XOM

Pre-market & overnight

- US futures: S&P 500 -0.6%, Nasdaq -1.4% at 08:30 HKT.
- Asia close: Hang Seng -0.9%, Shanghai -1.2%.
- Europe: FTSE 100 -0.8%, DAX -1.1% after ECB minutes.
- Crypto: BTC +0.17% at 81,641.04, ETH -0.46% at 2,408.52.

Macro & Fed

The Fed left rates unchanged at 5.25-5.50% but signaled a “higher for longer” stance, citing resilient payrolls and inflation still above target.

- Yield curve: 2-year at 5.30%, 10-year at 5.10% – slight flattening.
- Today's data calendar (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. ISM Manufacturing	48.0	Gauge of economic slowdown
10:00	U.S. Existing-home sales	4.2 M	Housing market health
11:15	Eurozone CPI (YoY)	2.5%	ECB policy outlook
13:00	China M2 growth	8.5%	Liquidity in Asian markets

Geopolitics & global

- Middle East tension escalates after naval incident near Hormuz, reinforcing oil supply concerns.
- China’s latest trade data shows a 2.1% export slowdown, pressuring Asian exporters.
- U.K. election campaign intensifies; market expects a possible fiscal tightening.
- Russia-Ukraine front sees limited movement, but sanctions on Russian energy persist.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	AAPL	5.12	iPhone demand, services growth
02:30	MSFT	9.84	Cloud margin, AI spend
03:00	NVDA	2.45	GPU inventory, AI adoption
03:30	META	3.02	Ad revenue rebound, metaverse spend
04:00	JPM	4.30	Net interest income, loan growth
04:30	XOM	1.18	Production volumes, price exposure

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
JPM	Financials	Strong NII, rate-sensitive
XLE	Energy	Oil breakout, supply risk
XLP	Consumer Staples	Defensive rotation
XLU	Utilities	Yield appeal
CVX	Energy	Dividend yield, price rally
XOM	Energy	Production guidance upbeat
AVGO	Semiconductors	Supply-chain reset, valuation
GOOGL	Communication Services	AI ad spend recovery
TSLA	Automotive	Margin pressure, inventory
META	Communication Services	Ad revenue rebound risk

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in U.S. inflation (CPI > 3.2%).
- Further escalation in Middle East supply disruptions.
- Fed signals rate hike in next meeting.

BULLISH TRIGGERS

- Strong earnings beat from AAPL or MSFT.
- Oil price pull-back below $90, easing inflation concerns.
- Positive surprise in ISM Manufacturing (≥ 50).

Positioning notes

- Yield-sensitive sectors (financials, real estate) are poised for short-term upside as rates stay high.
- Defensive staples and utilities are attracting capital flow, supporting a modest risk-off bias.
- Energy exposure remains a key catalyst; a break below $90 could reverse the rally.

Sources

SOURCES

Bloomberg Terminal – Market Data (10/16-10/18)

U.S. Treasury – Daily Yield Curve

OPEC Monthly Bulletin – Production Cuts

FactSet – Earnings Consensus

ICE Data Services – Futures Prices

Reuters – Geopolitical News